

September 16, 2026

City Union Bank Limited: [ICRA]AA (Stable) assigned to Basel III Tier II bonds; ratings reaffirmed for other instruments

Summary of rating action

Instrument*	Previous rated amount (Rs. crore)	Current rated amount (Rs. crore)	Rating action	Financial Sector Regulator [#]
Basel III Tier II bonds	-	100.00	[ICRA]AA (Stable); assigned	SEBI
Issuer Rating [^]	-	-	[ICRA]AA (Stable); reaffirmed	-\$
Certificates of deposit	4,000.00	4,000.00	[ICRA]A1+; reaffirmed	RBI
Total	4,000.00	4,100.00		

* Instrument details are provided in Annexure I

[^] Issuer Rating is an opinion on the general creditworthiness of the rated issuer and is not specific to any particular debt instrument

[#] SEBI's grievance redressal/dispute resolution and SEBI investor protection mechanisms such as SCORES and ODR shall not be available for activities and instruments which fall under the regulatory purview of Financial Sector Regulators other than SEBI

\$ Since no instrument is being rated, FSR is not applicable. The rating scale and definitions stipulated in SEBI Master Circular for CRAs are being followed.

Rationale

The ratings continue to factor in City Union Bank's (CUB) steadily improving asset quality, healthy earnings profile, along with its strong capitalisation profile (core equity tier I (CET I) ratio of 20.97% as on June 30, 2026), while it continues to expand its scale of operations. Further, the bank's established retail franchise comprises a reasonably granular liability base, which is expected to be maintained, thereby supporting its liquidity profile. Moreover, the bank improved its net interest margin (NIM; as a percentage of average total assets (ATA)) to 3.4% in Q1 FY2027 (3.2% in FY2026, 3.1% in FY2025), supported by the repricing of deposits, while yields on its advances remained broadly stable on a year-on-year (YoY) basis. Improving NIMs resulted in healthy return metrics, further supported by benign credit loss provisions. However, the comparatively lower share of current account and savings account (CASA) deposits in total deposits keeps the cost of interest-bearing funds above the private sector banks' (PVB) average, impacting CUB's competitive positioning to some extent.

ICRA notes that the bank's alignment of its gold loan operations with the revised regulatory guidelines led to minimal operational disruptions. Consequently, the gold loan portfolio continued to witness healthy traction, registering a robust YoY growth of ~38% as on June 30, 2026. In addition, given its healthy capital and profitability profile, the impact of the proposed transition to expected credit loss (ECL) based loan loss provisioning is expected to be manageable.

ICRA also notes the continued improvement in CUB's headline asset quality metrics and the declining share of vulnerable loans {overdue loan accounts, i.e., SMA¹-1 and SMA-2 advances, and standard restructured advances}. However, the overall vulnerable book remained sizeable at 2.4% of standard advances as on June 30, 2026. The performance of the residual vulnerable book will continue to be a near-to-medium-term monitorable, especially against the backdrop of the current geopolitical scenario, which can have a direct bearing on southern states that have direct economic linkages with Gulf countries. Nevertheless, CUB's limited direct exposure to the conflict zone provides some comfort and its improving operating profitability gives additional cushion to absorb these shocks. ICRA also expects the bank to remain sufficiently capitalised with no regulatory or growth capital requirements in the near-to-medium term. Moreover, the high regional concentration of CUB's

¹ SMA is defined as a special mention account (SMA), which is an account exhibiting signs of incipient stress, resulting in the borrower defaulting in the timely servicing of their debt obligations though the account has not yet been classified as an NPA as per the extant RBI guidelines; SMA-1 accounts are overdue by 31-60 days while SMA-2 accounts are overdue by 61-90 days. The SMA-level data is for the entire bank, including exposures below Rs. 5 crore

operations and the moderating yet sizeable share of the top 20 depositors in total deposits, compared with peer banks, remain constraining factors from a credit perspective.

The Stable outlook on the long-term rating reflects ICRA's expectation that CUB will be able to maintain healthy earnings, supported by steady asset quality, along with comfortable capital cushions that are expected to remain above the negative triggers.

Key rating drivers and their description

Credit strengths

Strong capitalisation profile supported by healthy internal accruals – CUB's capitalisation profile remains strong, with CET I and Tier I capital ratios of 20.97% each as on June 30, 2026 (22.09% each as on June 30, 2025), comfortably above the respective regulatory requirements of 8.0% and 9.5%. The capital ratios continue to be supported by healthy internal accruals and the lower risk-weighted density of assets, aided by the high share of gold loans (carrying zero risk weight) in the overall loan book. Further, internal capital generation has been healthy and sufficient to support credit growth since the last capital raise in FY2015. The strong capital position will act as a cushion against expected slippages from the vulnerable book over the near-to-medium term. In addition, the impact of the proposed transition to ECL-based loan loss provisioning is likely to be manageable owing to its healthy capital and profitability profile.

Earnings profile remains healthy – CUB's NIMs improved in Q1 FY2027 (3.4%) from FY2026 (3.2%; 3.1% in FY2025), supported by the repricing of deposits, while the bank's yields on its advances remained broadly stable on a YoY basis. NIMs, continue to be supported by the granular nature of the loan book to micro, small and medium enterprises (MSMEs). Nonetheless, its NIMs remained slightly below the PVB average (3.5% in Q1 FY2027 and 3.4% in FY2026) owing to the comparatively higher funding cost {5.54% in Q1 FY2027 (5.41% in FY2026) compared with the PVB average of 5.00% in Q1 FY2027 (5.11% in FY2026)} and sizeable share of relatively low-yielding gold loans. The share of low-yielding gold loans (including agriculture loans backed by gold) too remained high, accounting for 31% of gross advances as on June 30, 2026 (28% as on June 30, 2025). While its operating expenses are expected to increase over the coming quarters due to higher employee costs and continued branch expansion, its impact is likely to remain manageable, supported by a commensurate increase in operating income.

The net profitability continued to be supported by benign credit costs of 0.3% (annualised) in Q1 FY2027 (0.4% in FY2026). As a result, the return on assets (RoA) remained healthy and improved further to 1.57% (annualised) in Q1 FY2027 (1.52% in FY2026, 1.51% in FY2025). The lower credit costs are also linked to high recoveries from non-performing advances (NPAs), given the granular and secured loan book. Going forward, credit costs are likely to normalise with the expected uptick in the slippage rate and the moderation in recoveries/upgrades. Despite this, bank is expected to maintain healthy profitability.

Granular liability base – CUB has an established retail franchise with more than 120 years of operations in South India. Accordingly, the bank benefits from a strong retail deposit franchise, reflected in its limited dependence on bulk deposits. More than 57% of its term deposits as on June 30, 2026 had a ticket size of less than Rs. 1 crore (67% as on June 30, 2025), supporting a granular deposit profile. Although ICRA notes that there has been some decline in the share of granular term deposits on account of bank pushing for more institutional deposits. Any further material decline in the share of such granular deposits on a sustained basis will remain a monitorable from a funding profile perspective. The share of the top 20 deposits in total deposits stood at 12.93% as on March 31, 2026 (12.13% as on March 31, 2025; 8.67% as on March 31, 2024).

Credit challenges

Asset quality remains a monitorable – The annualised gross fresh NPA generation moderated to 1.19% in Q1 FY2027 from 1.45% in FY2026 (1.83% in FY2025 and 2.41% in FY2024). Meanwhile, recoveries and upgrades remained strong, resulting in a steady improvement in the headline asset quality metrics, with gross NPAs (GNPAs) and net NPAs (NNPAs) at 1.73% and 0.61%, respectively, as on June 30, 2026 (3.00% and 1.20%, respectively, as on June 30, 2025). Strong recoveries and upgrades also resulted in muted credit loss provisions, which stood at 0.3% of ATA in Q1 FY2027 (0.4% in FY2026; 0.4% in FY2025).

The overall vulnerable book remained sizeable at 2.4% of standard advances as on June 30, 2026, despite satisfactory asset quality metrics. However, the vulnerable book declined steadily from the higher level of 12.8% as on March 31, 2022. The asset quality remains monitorable as the loan book seasons amid high loan growth in the past year. Additionally, given the significant exposure (~37% as of June 30, 2026) to MSMEs, any disruptions on account of the ongoing West Asia conflict may affect the debt-servicing ability of the borrowers and the impact of the same will remain monitorable. Moreover, the high share of gold loans in the total portfolio makes CUB's asset quality vulnerable to a sharp decline in gold prices, though adequate loan-to-value (LTV) ratios across gold loans provide comfort. ICRA expects that CUB's healthy operating profitability and strong capital position will help it absorb asset quality pressures in the coming years while maintaining a strong capital profile.

The bank's cash credit (CC) and demand loans grew by more than 21% YoY as on March 31, 2026. Hence, its share in the total loan book remained high relative to the banking sector at 62% as on March 31, 2026 (66% as on March 31, 2025). As borrowers are required to service only the interest on such loans, the asset quality will remain monitorable. However, most of these loans are secured, though a decrease in the collateral value due to inventory ageing or a fluctuation in the asset value, including gold prices, could lead to asset quality challenges.

Geographically concentrated operations – CUB's operations remain geographically concentrated, with ~79% of its total branches (1,000) located in southern India (59% in Tamil Nadu) as on June 30, 2026. As a result, 86% of its advances and 90% of its deposits were from southern India (66% and 78%, respectively, from Tamil Nadu) as on March 31, 2026. Moreover, the top 20 exposures accounted for ~50% of the Tier I capital as on March 31, 2026 (~38% as on March 31, 2025). This exposes its assets and liabilities to local socio-economic and political risks. ICRA though expects the bank's operations to remain regionally concentrated, and it is unlikely to improve in the medium term.

Environmental and social risks

While banks like CUB do not face material physical climate risks, they are indirectly exposed to environmental risks through their asset portfolios. If entities or businesses to which banks and financial institutions have exposure face business disruptions due to physical climate adversities or transition risks arising from technological, regulatory or customer behaviour changes, these could translate into credit risks. However, such risks are not material for CUB, as it benefits from adequate portfolio diversification. Moreover, its lending is typically short-to-medium term, allowing it to adapt and take incremental exposure to businesses that face relatively fewer downside environmental risks.

With regard to social risks, data security and customer privacy are among the key sources of vulnerability for banks, as material lapses could be detrimental to their reputation and invite regulatory censure. CUB has not faced such lapses over the years, underscoring its sensitivity to these risks. It operates responsibly in terms of selling practices, with no instances of regulatory fines for misconduct. Banks, including CUB, also remain exposed to fraud risks, given the operational intensity of the business and the significant level of manpower involved in providing service to the customers.

Customer preference is increasingly shifting towards digital banking, providing opportunities to reduce operating costs. CUB has been at the forefront of making the requisite investments to enhance its digital interface with its customers. While it contributes to promoting financial inclusion by lending to the underserved segments, its lending practices remain prudent, as reflected in the steadily improving asset quality numbers.

Liquidity position: Strong

CUB's liquidity profile remains strong, with excess statutory liquidity ratio (SLR) holdings of 6% of net demand and time liabilities (NDTL) as on June 30, 2026, partly supporting the positive cumulative gaps across most of the near-term maturity buckets as per the structural liquidity statement as on June 30, 2026. The bank's liquidity coverage ratio (LCR) and net stable funding ratio (NSFR) stood at 155% and 132%, respectively, in Q1 FY2027, well above the regulatory requirement of 100%. In addition, access to call money markets and the Reserve Bank of India's (RBI) repo and marginal standing facility (MSF) in case of urgent liquidity needs aid CUB's liquidity profile.

Rating sensitivities

Positive factors – Material improvement in the scale of operations and meaningful geographical diversification while maintaining healthy asset quality and profitability will be positive triggers.

Negative factors – Pressure on the capitalisation profile, with the cushion over the regulatory Tier I capital adequacy falling below 2% on a sustained basis will be a negative trigger. Further, inability to internally generate growth capital (RoA below 1.0%) or a deterioration in the liability franchise will be also a negative trigger.

Analytical approach

Analytical approach	Comments
Applicable rating methodologies	ICRA's Rating Methodology for Banks and Financial Institutions
Parent/Group support	Not applicable
Consolidation/Standalone	For arriving at the ratings, ICRA has considered the standalone financials of CUB

About the company

Incorporated as The Kumbakonam Bank Limited in 1904, CUB is one of the oldest private sector banks, with its headquarters in Kumbakonam, Tamil Nadu. As on June 30, 2026, it had a network of 1000 branches and 1,821 ATMs, with about 79% of its branches located in South India. About 51% of its branches were in semi-urban and rural areas as on June 30, 2026.

CUB reported a capital adequacy ratio of 21.73% (Tier I: 20.97%) and gross and net NPAs of 1.73% and 0.61%, respectively, as on June 30, 2026. In Q1 FY2027, the bank reported a net profit of Rs. 383 crore (Rs. 1,326 crore in FY2026) on an asset base of Rs. 98,389 crore (Rs. 97,024 crore as on March 31, 2026) compared with a net profit of Rs. 306 crore on an asset base of Rs. 79,800 crore in Q1 FY2026. CUB had a market share of 0.3% in net advances and total deposits as on June 30, 2026.

Key financial indicators (standalone)

City Union Bank	FY2025	FY2026	Q1 FY2027
Total income	3,165	3,794	1,011
Profit after tax	1,124	1,326	383
Total assets (Rs. lakh crore)	0.78	0.97	0.98
CET I	22.70%	20.82%	20.97%
CRAR	23.75%	21.92%	21.73%
PAT/ATA	1.51%	1.52%	1.57%^
Gross NPAs	3.09%	1.91%	1.73%
Net NPAs	1.25%	0.68%	0.61%

Source: City Union Bank, ICRA Research; Amount in Rs. crore unless mentioned otherwise; All ratios as per ICRA's calculations; ^ Annualised
 Total income = Net interest income + Non-interest income (excluding trading gains)

Status of non-cooperation with previous CRA: Not applicable

Any other information: None

Rating history for past three years

Instrument	Current (FY2027)			Chronology of rating history for the past 3 years					
	Type	Amount rated (Rs. crore)	Sep 16, 2026	FY2026		FY2025		FY2024	
				Date	Rating	Date	Rating	Date	Rating
Issuer Rating	Long term	-	[ICRA]AA (Stable)	Nov 21, 2025	[ICRA]AA (Stable)	Nov 28, 2024	[ICRA]AA- (Positive)	Nov 09, 2023	[ICRA]AA- (Stable)
				Dec 24, 2025	[ICRA]AA (Stable)	-	-	-	-
				Mar 20, 2026	[ICRA]AA (Stable)	-	-	-	-
Certificates of deposit	Short term	4,000.00	[ICRA]A1+	Nov 21, 2025	[ICRA]A1+	Nov 28, 2024	[ICRA]A1+	Nov 09, 2023	[ICRA]A1+
				Dec 24, 2025	[ICRA]A1+	-	-	-	-
				Mar 20, 2026	[ICRA]A1+	-	-	-	-
Basel III Tier II bonds	Long term	100.00	[ICRA]AA (Stable)	-	-	-	-	-	-

Complexity level of the rated instruments

Instrument	Complexity indicator
Issuer Rating	NA
Certificates of deposit	Simple
Basel III Tier II bonds	Highly Complex

The Complexity Indicator refers to the ease with which the returns associated with the rated instrument could be estimated. It does not indicate the risk related to the timely payments on the instrument, which is rather indicated by the instrument's credit rating. It also does not indicate the complexity associated with analysing an entity's financial, business, industry risks or complexity related to the structural, transactional or legal aspects. Details on the complexity levels of the instruments are available on ICRA's website: [Click here](#)

Annexure I: Instrument details

ISIN	Instrument name	Date of issuance	Coupon rate	Maturity	Amount rated (Rs. crore)	Current rating and outlook	FSR [#]
NA	Issuer Rating	NA	NA	NA	NA	[ICRA]AA (Stable)	-\$
Yet to be placed	Certificates of deposit	NA	NA	7-365 days	1,250.00	[ICRA]A1+	RBI
INE491A16169	Certificates of deposit	10-Jun-2026	7.80%	10-Sep-2026	1,200.00	[ICRA]A1+	RBI
INE491A16177	Certificates of deposit	11-Jun-2026	7.50%	11-Sep-2026	500.00	[ICRA]A1+	RBI
INE491A16185	Certificates of deposit	12-Aug-2026	7.25%	12-Nov-2026	500.00	[ICRA]A1+	RBI
INE491A16193	Certificates of deposit	03-Sep-2026	6.95%	04-Dec-2026	550.00	[ICRA]A1+	RBI
Yet to be placed	Basel III Tier II bonds	-	-	-	100.00	[ICRA]AA (Stable)	SEBI

Source: City Union Bank; Certificates of deposit outstanding as on September 07, 2026

[#] SEBI's grievance redressal/dispute resolution and SEBI investor protection mechanisms such as SCORES and ODR shall not be available for activities and instruments which fall under the regulatory purview of Financial Sector Regulators other than SEBI

\$ Since no instrument is being rated, FSR is not applicable. The rating scale and definitions stipulated in SEBI Master Circular for CRAs are being followed.

Key features of rated debt instruments

The servicing of the Basel III Tier II bonds, NCDs, subordinated debt, fixed deposits, bank lines and infrastructure bonds is not subject to any capital ratios and profitability. However, these bonds are expected to absorb losses once the point of non-viability (PONV) trigger is breached in the RBI's opinion. The rated Basel III Tier II instruments are hybrid subordinated debt instruments with equity-like loss-absorption features. Such features may translate into higher loss severity vis-à-vis conventional debt instruments.

Annexure II: List of entities considered for limited consolidated analysis

Not applicable

ANALYST CONTACTS

Ashish Modani

+91 22 6169 3300

ashish.modani@icraindia.com

Sachin Sachdeva

+91 124 4545 307

sachin.sachdeva@icraindia.com

Sohil Mehta

+91 22 6114 3449

sohil.mehta@icraindia.com

Nikita Garg

+91 22 6114 3465

nikita.garg@icraindia.com

Varun Dhapade

+91 22 6114 3463

varun.dhapade@icraindia.com

RELATIONSHIP CONTACT

Mr. L. Shivakumar

+91 22 6114 3406

shivakumar@icraindia.com

MEDIA AND PUBLIC RELATIONS CONTACT

Ms. Naznin Prodhani

Tel: +91 124 4545 860

communications@icraindia.com

HELPLINE FOR BUSINESS QUERIES

+91-9354738909 (open Monday to Friday, from 9:30 am to 6 pm)

info@icraindia.com

ABOUT ICRA LIMITED

ICRA Limited was set up in 1991 by leading financial/investment institutions, commercial banks and financial services companies as an independent and professional investment Information and Credit Rating Agency.

Today, ICRA and its subsidiaries together form the ICRA Group of Companies (Group ICRA). ICRA is a Public Limited Company, with its shares listed on the Bombay Stock Exchange and the National Stock Exchange. The international Credit Rating Agency Moody's Investors Service is ICRA's largest shareholder.

For more information, visit www.icra.in

ICRA Limited



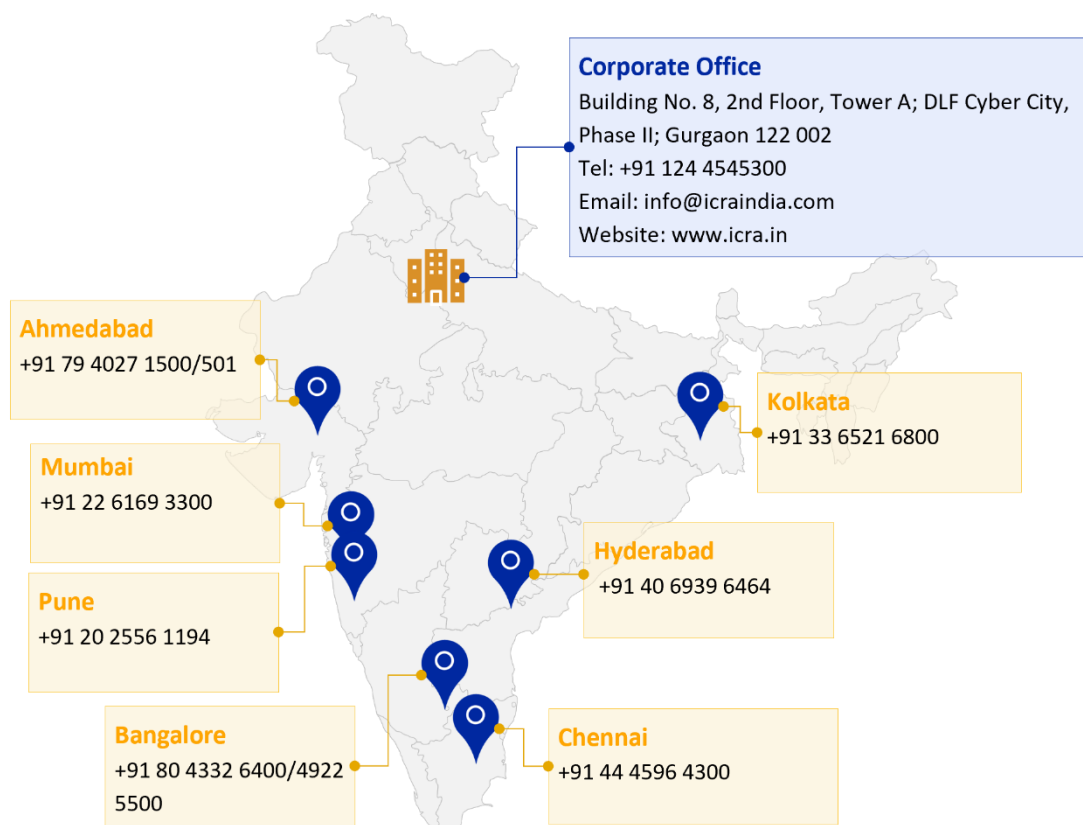
Registered Office

B-710, Statesman House, 148 Barakhamba Road, New Delhi-110001

Tel: +91 11 23357940-45



Branches



© Copyright, 2026 ICRA Limited. All Rights Reserved.

Contents may be used freely with due acknowledgement to ICRA.

ICRA ratings should not be treated as recommendation to buy, sell or hold the rated debt instruments. ICRA ratings are subject to a process of surveillance, which may lead to revision in ratings. An ICRA rating is a symbolic indicator of ICRA's current opinion on the relative capability of the issuer concerned to timely service debts and obligations, with reference to the instrument rated. Please visit our website www.icra.in or contact any ICRA office for the latest information on ICRA ratings outstanding. All information contained herein has been obtained by ICRA from sources believed by it to be accurate and reliable, including the rated issuer. ICRA however has not conducted any audit of the rated issuer or of the information provided by it. While reasonable care has been taken to ensure that the information herein is true, such information is provided 'as is' without any warranty of any kind, and ICRA in particular, makes no representation or warranty, express or implied, as to the accuracy, timeliness or completeness of any such information. Also, ICRA or any of its group companies may have provided services other than rating to the issuer rated. All information contained herein must be construed solely as statements of opinion, and ICRA shall not be liable for any losses incurred by users from any use of this publication or its contents.